



Study Notes

Indian Contract Act, 1872 - Important Cases

Brief of important cases

S. N	Topic	Name of The Case	Facts of the Case
1.	Offer and Invitation to Treat	Pharmaceutical Society of Great Britain v. Boots Cash Chemists Ltd.	When the goods are displayed either in a show-window or inside the shop and such goods bear price-tags, the question which arises in such case is, whether that amounts to an offer to sell goods at prices mentioned on the price tags. In this case, it was held that display of goods along with price tags merely amounts to invitation to treat and therefore if an intending buyer is willing to purchase the goods at a price mentioned on the tag, he makes an offer to buy the goods. Thus, the shopkeeper has the right to accept or reject the same. The contract would arise only when the offer is accepted.
2.	Mere reply of a query is not an Acceptance	Harvey v. Facey-	In this case, the quotation of the price was held not to be an offer. In this case, the defendants were the owners of a plot of land known as <i>Bumper Hall Pen</i>. The plaintiffs being interested in purchasing the same sent a telegram to the defendants- "<i>Will you sell us Bumper Hall Pen? Telegraph lowest cash price.</i>" The defendant's in reply telegraphed- "<i>lowest price for Bumper Hall Pen, £ 900.</i>" The Plaintiffs sent another telegram to the defendants saying "<i>we agree to buy Bumper Hall Pen for £ 900 asked by you...</i>" The Plaintiffs in the Court contended that the second telegram from defendants quoting the lowest price was an offer and the same had been accepted by the Plaintiff, hence the contract was complete. In the case it was eventually held that the exchange of aforesaid telegrams had not resulted in formation of a contract. It was observed that the first telegram had asked two questions, one regarding willingness to sell and other regarding the lowest price. In reply only lowest price was quoted and this quoting of the price was not an offer. That the third telegram from the Plaintiffs saying <i>we agree to buy</i> was only an offer and not the acceptance of an offer. Since this offer had not been accepted by defendants, there was no binding contract between the parties.
3.	Acceptance should be communicated	Felthouse v. Bindley	For a valid contract the acceptance should be communicated and moreover such communication should be made to the offeror. Another point of law explained in the case was that the offeror cannot impose upon the offeree duty to reply and therefor an offeror cannot say that failure to reply will be deemed to be acceptance of the offer

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4.	Communication of Acceptance can be made by Offeree or his authorized agent	Powell v. Lee	In order that an acceptance is treated as valid, it is necessary that the same must be communicated to the offeror either by the offeree or by some duly authorized person on his behalf. If the communication is made by an unauthorized person, it does not result in a contract.
5.	Terms of the Contract should be reasonable	Central Inland Water Transport Corporation Ltd. v. Brojo Nath-	In the case one of the clauses of the employment contract was that the employer could terminate the services of a permanent employee by giving him 3 months' notice or 3 months' salary. The services of the respondent and one other was accordingly terminated instantly by giving three months' salary. When the case came up before the Supreme Court the Court held the contract to be void under Section 23 of the Contract Act and observed that such a clause in the service agreement between persons having gross inequality of bargaining power was wholly unreasonable and was against the public policy.
6.	Consideration only at the desire of the Promisor	Durga Prasad v. Baldeo-	In the case it was held that it is essential that the consideration must have been given at the desire of the promisor, rather than merely voluntarily or at the instance of some third party
7	Consideration can come from a third party	Chinnaya Ramaya (1882) Vs	A lady granted/ gifted a property consisting of some land to her daughter (defendant) by a gift deed. The deed was registered to the proper authorities. As per the terms of deed the daughter had to pay a sum of Rs.653 annually to the lady's brother. Later the old lady died, and the defendant refused to pay the money to the lady's brother stating that she had not received any consideration from the lady's brother (plaintiff). Hence the plaintiff sued the defendant for the recovery of the same. In this agreement between the defendant and plaintiff the consideration has been furnished on behalf of the plaintiff (brother) by his sister (respondent's mother). Although the plaintiff was stranger to the consideration but since he was a party to the contract, he could enforce the promise to the promisor, as Consideration may be given by the promise or anyone on her behalf – vide section 2(D) of Indian Contract Act, 1872.
7.	Privity of Contract	Dunlop Pneumatic Tyre Co. Ltd. v. Selfridge & Co. Ltd.-	The doctrine means that only those persons who are parties to the contract can enforce the same. The concept of privity of contract under the English Law was explained in this case. It was observed that <i>only a person who is party to a contract can sue on it. Our law knows</i>

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			<i>nothing of a Jus quaesitum tertio arising by way of contract. However such a right may be conferred by way of property, for example under a trust, but cannot be enforced on a stranger to a contract as a right to enforce the contract in personam.</i>
8.	General Offer	Carlill v. Carbolic Smoke Balls Company	Can offers be open to the public in general? Can a general offer lead to a contract? In this case, a company carried out advertisements about their product, carbolic smoke balls, that claimed that any person who took the smoke balls in the prescribed manner (i.e., three times daily for two weeks) will not catch influenza. In case someone does, the company promised to pay 100£ to them immediately. To show their sincerity regarding this offer, the company deposited a sum of 1000£ in a public bank. Now, the plaintiff, Carlill bought the smoke balls and used them as prescribed in the advertisement, but still ended up catching the flu. She filed a suit for the recovery of 100£ as promised in the advertisement. The company denied the payment saying there existed no contract between them and the plaintiff. It was held that a contract came into existence between the plaintiff and the company as soon as the plaintiff bought the smoke balls and used them as prescribed.
9.	Offer and Counter Offers	Hyde v. Wrench	This is a leading case eliciting the concept of offers and counter-offers. In this case, Wrench, the defendant offered to sell his farm to the petitioner, Hyde for £1000. The petitioner declined the offer. The defendant again reinstated his offer for selling the farm at £1000 to the petitioner's agent stating that it is the final offer from their side. The petitioner, through a letter, offered to buy the farm for £950. The defendant refused to sell the farm at that price. The petitioner, several days later, offered to buy the farm at the initial price of £1000. The defendant did not send any agreement to that and refused to sell the farm, because of which the petitioner sued for breach of contract. It was held that no contract came to arise between the parties as the price was not agreed upon. Rather, offers and counter-offers were exchanged.
10	Communication of Offer is Necessary	Lalman Shukla v. Gauri Dutt	In this case, the defendant's (Gauri Dutt's) nephew went missing and the petitioner (Lalman Shukla), who was a servant under the defendant, was sent out in the nephew's search to Hardwar. After sending the petitioner, the

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	Also, Valid Acceptance is necessary for a valid contract		defendant carried out an offer to the general public offering Rs.501 to whomsoever finds the missing boy. The Plaintiff found the boy and helped return him back to his home. He had been paid the money he spent in going to search for the boy, i.e., his travel expenses. When he returned, he continued working for the defendants for about six months. After six months, he sued the defendants for paying him the prize money that was offered earlier. It was held that the petitioner was not entitled to the prize money, as he was only obliged by the duty he had as the defendant's servant to find the missing boy, and the reward was announced after he had already been sent.
11.	Minor's Capacity to Contract:	Mohori Bibee v. Damodar Ghose	Is a minor's agreement void ab initio? In this case, the defendant, Damodar Ghose, as a minor was the sole owner of his property. His mother was his legally appointed guardian. One Mr. Brahmo Dutt who was a moneylender, through his agent Kedar Nath, lent Damodar Ghose a sum of Rs 20,000 at 12% interest per year. The loan was taken by way of mortgaging the property. The same day this deal was made, Damodar Ghose's mother notified the appellant that Damodar was a minor, and anybody who would get into an agreement with him would do so at his own risk. Kedar Nath claimed that Damodar Ghose had lied about his age on the date of the execution of this deed, which turned out to be untrue. Therefore, Brahmo Dutt's appeal was dismissed and his request for the return of Rs 10,500 advanced towards him was also rejected. It was held that a minor's agreement is void ab initio.
12.	Doctrine of Frustration	Krell v. Henry	In this case, the defendant agreed to rent a flat of the plaintiff to watch the coronation of King Edward VII from its balcony. The plaintiff had promised that the view from the flat's balcony will be satisfying since the procession will be perfectly visible from the room. The parties corresponded through letters and agreed on a price of £75 for two days. Nowhere in their written correspondence did the parties mention the coronation ceremony. The coronation did not take place on the days the flat was booked for, as the king fell ill. The defendant refused to pay the whole sum of money that the parties had agreed upon, for this reason. It was held that it could be incurred from the circumstances surrounding the contract what the implied purpose behind the contract was. Due to the cancellation of the procession, the purpose of booking the flat was frustrated.

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13.	The remoteness of Damage:	Hadley v. Baxendale	In this case, the plaintiffs were operators of a mill, that they had to shut down temporarily when the crankshafts of the mill broke. Plaintiffs then contacted the manufacturers of the engine to make a new engine on a similar pattern. A servant of the defendants was then sent to the carriers to transport the crankshaft to the engine manufacturers. The servant told the Defendants that the mill is shut down, so the crankshafts must be sent immediately. The defendants informed that whenever the old crankshaft is given to them, the new one will be delivered by 12 o'clock its next day. Due to the delay of the defendants, the delivery got delayed and the mill had to stay shut for several days. In this case, due to the involvement of a third party (the carriers), the delay and loss could not entirely be blamed upon the defendants. Whatever damages or loss rose, did not come to existence because of a direct breach of contract by the defendants.
14.	Intention to enter into a contract is necessary for a binding and legally enforceable contract.	Balfour Vs Balfour (1919)	Mr. Balfour and his wife went to England for a vacation, and his wife became ill and needed medical attention. They made an agreement that Mrs. Balfour was to remain behind in England when the husband returned to Ceylon (Sri Lanka) and that Mr. Balfour would pay her £30 a month until he returned. This understanding was made while their relationship was fine; however, the relationship later soured. The lower court found that there was sufficient consideration in the consent of Mrs. Balfour and thus found the contract binding, which Mr. Balfour appealed. Appeal was allowed and court held law of contracts is not made for personal family relationships. Promises made in spousal or Family matter are not binding. As there was no intent to be legally bound when the agreement was agreed upon, there can be no legally binding contract.
15.	Minor contracts are void ab-initio. Minors have been provided with this protection by law.	Mohiribibi Vs Dharmodas Ghosh (1903)	Dharmodas Ghosh, the respondent in this case, was a minor (i.e. has not completed 18 years of age) and he was the sole owner of his immovable property. When he went for the mortgage of his own immovable property which was done in the favor of appellant (Brahmo Dutta), Dharmodas Ghosh was a minor and he secured this mortgage deed for Rs. 20,000 at 12% interest rate per year. Court held: That such mortgage deed or contract that was commenced between the plaintiff and the defendant was void as it was accomplished by the person who was an infant at the time of execution of mortgage.